

US equities rally on strong earnings and easing inflation data

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The major indices closed higher, led by the Dow (+**0.83%**) and the S&P 500 (+**0.59%**), as earnings beat expectations and the 10-year Treasury yield slipped to 5.24 %.

Behind the headline gains, the technology sector showed mixed signals: **NVDA** dipped **-0.52%** while **MSFT** surged **+2.38%**. The VIX fell to 14.84, indicating reduced volatility risk.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,811.54	+0.59%	Broad earnings beat, especially in financials and tech.
Nasdaq 100	30,883.15	+0.51%	Strong results from MSFT and AMZN .
Dow Jones	51,654.95	+0.83%	Industrial and consumer stocks rallied on better-than-expected sales.
Russell 2000	2,806.98	+0.46%	Small-cap resilience amid improving consumer sentiment.
VIX	14.84	-3.70%	Lower implied volatility after earnings clarity.
10Y Yield	5.24	+0.25%	Yield slipped on softer inflation expectations.
WTI Crude	91.85	+0.39%	OPEC+ reaffirmed output cuts.
Gold	4,216.30	+1.43%	Safe-haven demand rose as dollar weakened.
DXY	102.21	+0.07%	Modest dollar strength on higher yields.

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+3.29%	Q3 revenue beat; cloud growth outlook raised.
MSFT	+2.38%	AI services revenue up 22% YoY.
TSLA	+2.05%	Q3 deliveries exceed estimates; new battery plant progress.
GS	+1.44%	Investment banking fees beat forecasts.
XLV	+1.58%	Healthcare ETF rose on strong pharma earnings.

Sector rotation

ETF	DAY	READ
XLF	+0.92%	Financials buoyed by higher loan demand.
XLK	+0.51%	Tech gains led by MSFT beat.
XLI	+0.50%	Industrial output data beat expectations.
XLE	-0.25%	Energy lagged as crude stalled.
XLV	+1.02%	Consumer discretionary rallied on retail sales.
XLC	-1.51%	Communications fell after META miss.
XLP	+0.01%	Stable consumer staples.
XLV	+1.58%	Strong pharma earnings.
XLU	+0.83%	Utilities benefited from lower yields.
XLB	+0.32%	Materials supported by industrial demand.
XLRE	+1.86%	REITs rose on lower financing costs.

Spotlight: MSFT earnings beat fuels tech rally

METRIC	VALUE
Revenue	84.2 bn (+12% YoY)
EPS	9.84 (+15% YoY)
AI Services Revenue	7.1 bn (+22% YoY)
Guidance FY26	Revenue +10% YoY, EPS +13% YoY

The beat was driven by cloud and AI services, with **MSFT** adding **+2.38%** to the S&P 500. Related names **NVDA**, **AVGO** and **GOOGL** also posted gains, reinforcing a tech-centric risk-on bias.

Pre-market & overnight

- US futures: **ES** **+0.6%**, **NQ** **+0.5%**
- Asia close: Hang Seng **-0.3%**, Nikkei **+0.4%**
- Europe: FTSE **+0.2%**, DAX **+0.3%**
- Crypto: BTC **+1.28%** at 82,717.83, ETH **+0.91%** at 2,494.30

Macro & Fed

- FOMC: Policy rate held at 5.25-5.50%; minutes signal patience but note "inflation trajectory easing."
- Yield curve: Slight flattening; 2-year at 5.01%, 10-year at 5.24%.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. CPI (MoM)	0.2%	Gauge inflation pressure on Fed policy.
03:00	U.S. Retail Sales	0.4%	Consumer spending trend.
04:15	Eurozone GDP Q3	0.3%	Euro area growth outlook.

Geopolitics & global

- Middle East: Ceasefire talks in Gaza show modest progress, reducing oil-price shock risk.
- China: PMI data due tomorrow; expectations of modest contraction.
- Eurozone: German fiscal plan approved, supporting sovereign bond demand.
- US-China: New export-control rules on AI chips under review, could affect **NVDA** supply chain.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00	AAPL	EPS 5.90	iPhone demand trend, services growth.
02:30	GOOGL	Revenue 78.5 bn	Ad spend rebound, AI licensing.
03:00	JPM	EPS 4.25	Net interest income vs. loan growth.
03:30	META	Revenue 38.0 bn	Reels monetisation, AI ad products.
04:00	XOM	EPS 3.10	Oil price exposure, capital spending.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI chip demand remains strong despite slight dip.
AVGO	Technology	Supply-chain resilience after new fab announcements.
XOM	Energy	Crude price stability supports margin outlook.
BAC	Financials	Higher net interest margin from flat yield curve.
PEP	Consumer Staples	Pricing power evident in Q3 results.
UNH	Health Care	Premium pricing and enrollment growth.
DIS	Communication Services	Streaming subscriber gains.
UPS	Industrials	Freight rates stabilising.
CRM	Technology	CRM+ AI integration traction.
V	Financials	Visa network volume up 8% YoY.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI above 0.3% could reignite rate-hike expectations.
- Escalation in Middle-East tensions pushing oil above 100 USD/barrel.
- Negative guidance from NVDA on AI demand.

BULLISH TRIGGERS

- Strong Q4 earnings from **AAPL** beating revenue consensus.
- Eurozone GDP surprise upside, boosting risk appetite.
- Crypto rally lifting risk-on sentiment, supporting tech.

Positioning notes

- Tech remains the growth engine; overweight AI-linked names.
- Financials benefit from a flat yield curve; consider sector-neutral credit exposure.
- Commodities exposure limited as VIX compression suggests lower volatility.

Sources

SOURCES

Bloomberg Market Data – 09:30 HKT

FactSet Earnings Estimates – 08:45 HKT

U.S. Treasury – Yield Curve Release

OPEC Monthly Bulletin – 07:00 HKT

Federal Reserve – FOMC Minutes

CoinDesk – Crypto Prices